EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Sta. Teresita for the period ended December 31, 2015. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2015, were P83,256,859.42, P26,087,054.73, and P57,169,804.69, with an increase of 3.77%, decrease of 7.99% and increase of 10.10%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P73,043,520.33and P68,882,442.24 which increased by 17.26% and 14.05%, respectively from last year's figures.

			Increase(Decrease)	
	2015	**2014**	**Amount**	**Percentage**
Financial Position				
Assets	83,256,859.42	80,235,502.28	3,021,357.14	3.77%
Liabilities	26,087,054.73	28,352,801.35	-2,265,746.62	-7.99%
Govt. Equity	57,169,804.69	51,927,700.93	5,242,103.76	10.10%
Financial Performance				
Income	73,043,520.33	62,293,172.98	10,750,347.35	17.26%
Expense	68,882,442.24	60,398,499.50	8,483,942.74	14.05%
Appropriations, Allotments and Obligation				
Appropriations	88,681,362.27	89,436,163.57	-754,801.30	-0.84%

Allotments	88,681,362.27	89,436,163.57	-754,801.30	-0.84%
Obligations	65,286,637.20	73,723,498.52	-8,436,861.32	-11.44%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non- transfer of the unexpended balance of the LDRRMF to account "Local Disaster Risk Reduction Management Fund" (Code 2-04-01-020) under the Trust Fund books to reflect the correct balance of the affected accounts, thus affecting the fair presentation of the financial statements

4. Summary of Significant Observations and Recommendations

a. Cash Advances for various expenses of several officials and employees totaling P1, 113,940.00 were granted in violation of Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997.

We recommended that the Municipal Accountant revisit and review Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997 and implement strictly the provision of the above mentioned rules and regulations.

b. Gasoline, Oil and Lubricants expenses and renewal of registration of vehicles totaling P235, 000.00 were paid through cash advance in the name of the Supply Officer instead of paying directly to the supplier/ creditor contrary to Section 93 of Presidential Decree 1445, hence transactions were irregular.

We recommended the management to stop the practice of paying gasoline expenses through cash advances. This practice may lead to misuse of the fund. Disbursements should be made directly to the supplier/ creditor pursuant of Section 93 of P.D. 1445

c. Procurement of meals and snacks for Organic Agriculture Training amounting to P310,450.00were split into smaller amounts to evade public bidding in violation of Section 54.1 of the Revised IRR of RA 9184. Such practice had deprived the government the opportunity to obtain the most reasonable and advantageous price to the government.

We recommended that the procuring entity comply with Section 10, Rule 4 of RA No. 9184 which mandates that all government procurement shall be

done through competitive bidding. Management procurement which can be embrace in one contract shall be captured in one procurement plan and should not be split into smaller amounts. Alternative mode of procurement can be availed of only in exceptional cases and such exceptions must be resorted to in a lawful manner.

d. Unexpended balance of the Local Disaster Risk Reduction Management Fund(LDRRMF) totaling P 2,870,800.42 were not transferred to the Trust Fund books using the "Trust Liability-DRRM" or "Disaster Risk Reduction and Management Fund (Code 2-04-01-020) under the Philippine Public Sector Accounting Standard, pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012, hence, the balances of the subject account was misstated.

We recommended that the concerned personnel transfer the unexpended balance of the LDRRMF to account "Local Disaster Risk Reduction Management Fund" (Code 2-04-01-020) under the Trust Fund books to reflect the correct balance of the affected accounts in the financial statements pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
Disallowances					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
	-	-	-	-	
Charges	-	-	-	-	
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the four (4) audit recommendations of last year's report, four (4) or all were fully implemented as of year- end.